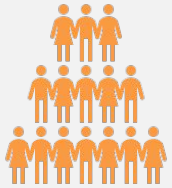
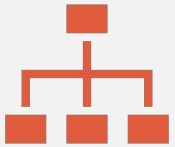
Organizational Behaviour

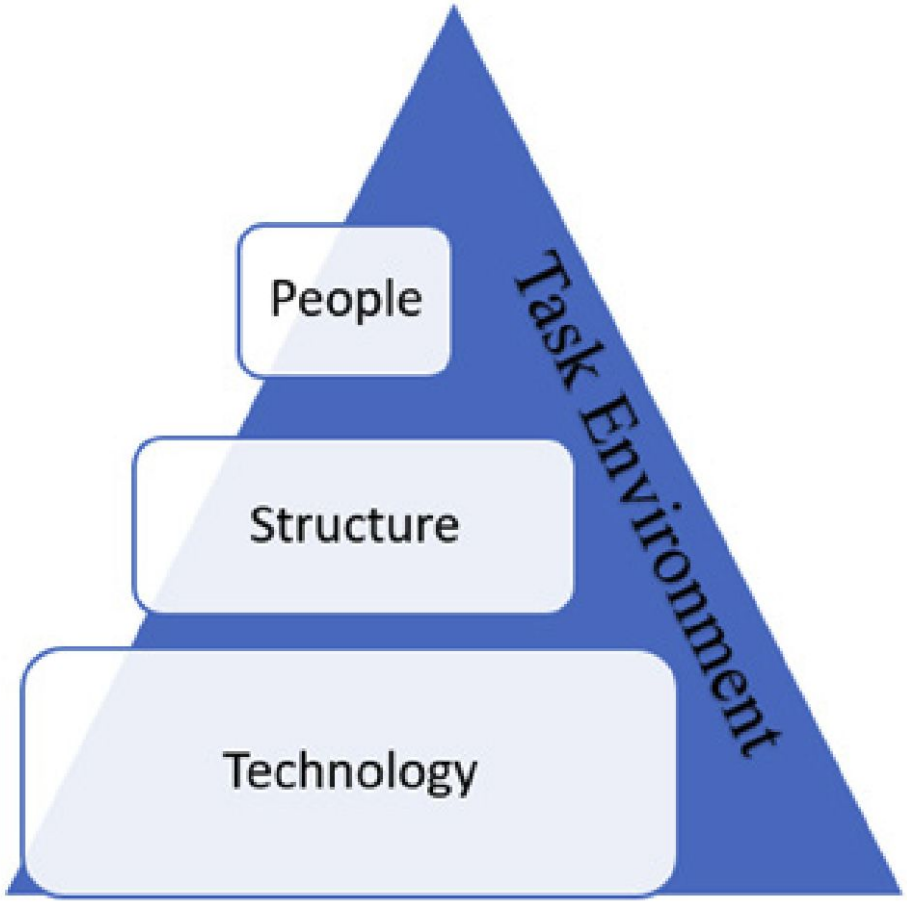
Definition



"Organizational behavior can be defined as the understanding, prediction, and management of human behavior in organizations." – Fred Luthans



Organizational behaviour (OB) is a field of study that investigates the impact individuals, groups, and structure have on behaviour within organizations, for the purpose of applying such knowledge toward improving an organization's effectiveness. – Stephen P. Robbins



Basic Concepts of Organisational behaviour

- If we need to understand Organisational Behaviour , we need to have a proper understanding of Organisation and human behaviour. The organisation is the specific place the behaviour of employees is acted out.
- According to Kats, Kahn and Leavitt, organisation's open system framework has four major internal components. They are

1. Task Environment
2. People
3. Technology and
4. Structure.

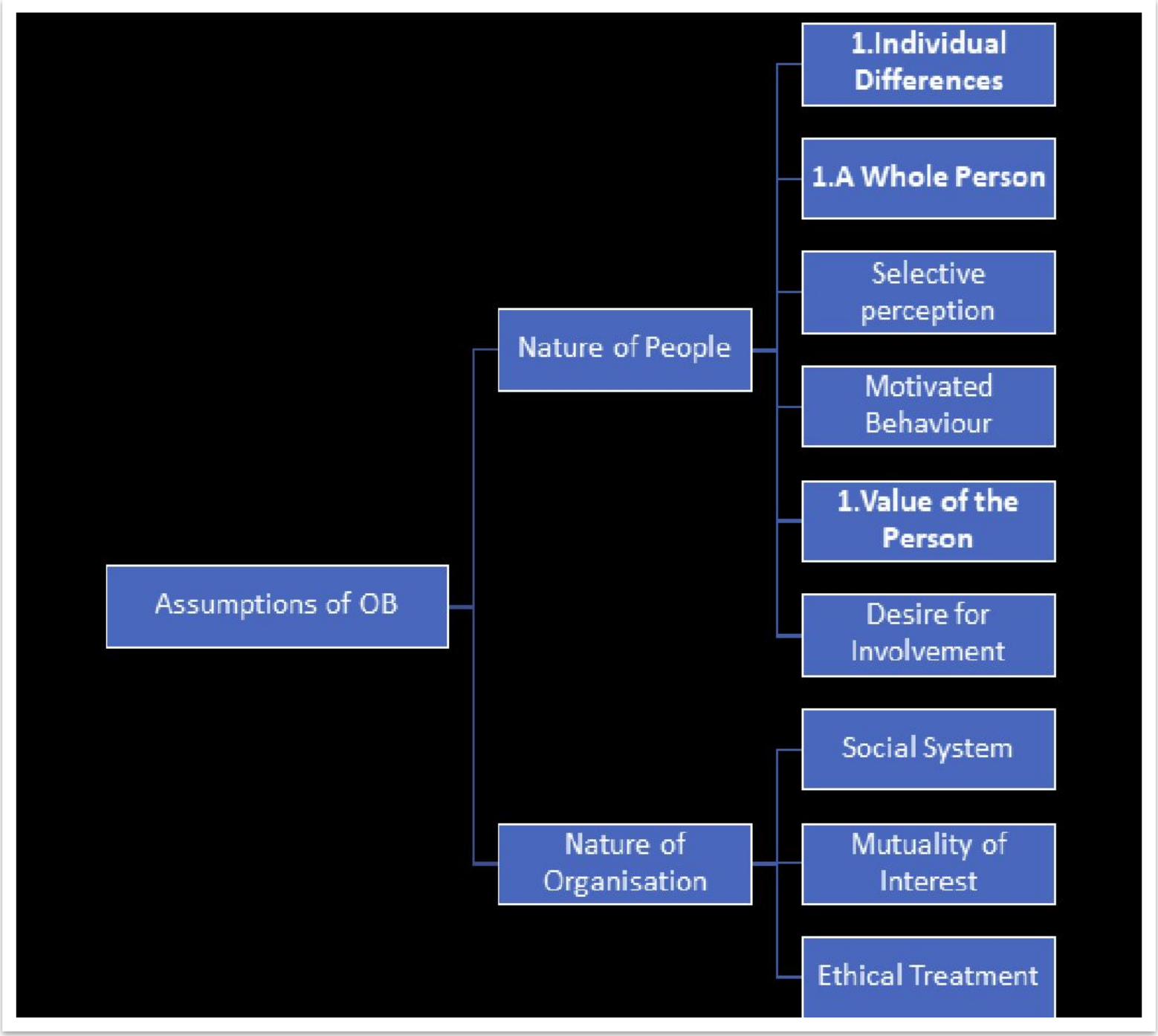
Nature (people aka employees)

To under the behaviour of people in the organization, it is necessary to understand the behaviour of people when they are not in the organization. Hence, the nature of the people must be studied

1. *Individual Differences*
2. *A Whole Person*
3. *Selective Perception*
4. *Motivated Behaviour*
5. Value of the Person
6. Desire for Involvement

Nature (organizational)

1. Social System
2. Mutuality of Interest
3. Ethical Treatment



Scope of Organisational Behaviour

- **Human Resource Approach -** The development of Human Resources in an organisation is essential for the development of organisation itself. The concept of Human capital is gaining momentum day by day and Organisations are accepting the importance of net worth of the Human capital. Human capital can be defined as the potential of an individual employee's skill and knowledge in the area of productivity. The competency and capability of every individual in the organisation counts for it's overall productivity and the total worth is calculated as the "Human Capital".
- **Contingency Approach -** A work place is full of people and people find it difficult to solve conflicts that arise among them. Conflicts are mostly situational and every situation poses a new challenge in solving the conflicts. The people in the organisation, if trained to face the challenges of these complex issues, will come out with their own solutions based on their personality, the other person's personality and the situational needs. They will not wait for the rule book or intervention from a third party like the peers or Superiors.

Scope of Organisational Behaviour

- **Systems Approach -** The systems approach is construct based on the thought that the organisation becomes a meaningful system only when the sub-systems operate in unison. The subsystems in the organisation are inter-related and hence, a decision or solution which fits best for one department may affect the other sections of the organisations. The systems approach addresses this by evolving a frame work for better relationships.
- **Productivity Approach -** Productivity is the measurement of output volume in proportion to the input volume. The performance of the employees in the organisation is well understood by measuring the productivity. When the behaviour of the employees in the organisation improves, it will elevate the productivity. Proper motivation and the proper receptiveness of the employees towards motivation are important factors for a successful performance management.

Image
(Individual Image and Organisational Image, Self- Image, Self Esteem, Self-Efficacy)

- Images are the visual representation. It is as simple as that. But the complexity of images enters when the perception of every individual is unique. The images we create and perceive are different from the other image created by the other person.
- As we all live in a socially constricted world, especially with the social media's gigantic hands holding the mobile phones in front of us 24/7, the concept of Image is thickening day by day.
- People are constantly worried and checking on how they are perceived by the world and what is their image. The usage of the word "world" here is not exaggerated, but we all know it is true in the present day.
- Hence, the behaviour of a person is affected obviously by the Individual's Self-Image and Organisational Image he/she works with, because as a whole picture the image of both entities affect each

Individual Image and Organizational Image

- **Individual Image** - Self-image is the personal view that we have of ourselves. It is often perceived as visual images with color of emotions one attach to the picture. Self-image is like an internal dictionary one has to find meaning for their traits, behaviour and characteristics.
- It is often added up with adjectives to be more meaningful, adjectives which has some relevance to the social norms. These adjectives such as caring or selfish, beautiful or ugly, kind or evil tend to change or adjust as per the emotions that the individual experience in that moment.
- **Organizational Image -** Organisation image is the perceptions that different people hold on the organisation". Such perceptions are outcome of various inputs provided intentionally or unintentionally by the Organisation.
- Some perceptions derive from the individual experiences and others are through the marketing and communication activities done by the organisation to improve the image of the organisation.

Organisational Structure

- Practices
- Organisational culture
- Monitoring systems
- Organisational Climate

Power Structure

- Informal Structure
- Symbols and expressions
- Assumptions, Rumours and stories

- Organisation Image is important because it is how the stake holders relate to the organisation and the relationship with the stake holders such as the employees, shareholders, **Government Agencies, Suppliers, Customers/ Consumers** – depends on the image of the organisation.
- The construct of organizational image is developed in close interrelationship with other constructs, such as organizational identity, organizational culture, corporate branding, and corporate reputation.
- This development emerges from the growing overlap between internal and external constituencies, and the difficulties organizations face when trying to compartmentalize their activities.
- We need to have a holistic approach to see the full image of the organisation which includes the external displays such as the
  a) Contracts and agreements with other parties
  b) Conduct and ethical code for the organisation
  c) Treatment of employees
  d) Fair trade concept
  e) Treatment of other stake holders such as suppliers and customers
  f) Strategies for achievement of goal
  g) Interaction with the Government agencies

Different Meaning of Organisational Image

- **Organisational Image as the vision of the Company:** When an organisation relates its image to the vision and mission of the company, it means the image represents a desired image in future but not the present situation of the organisation
- **Organisational Image as an Instrument of Management: T**he identity of the organisation is strategically planned and operatively applied concept and attitude of a company, both internal and external, based on an established corporate philosophy, long term corporate goals and a defined required image.
- **Organisational Image as an effect on the public: The i**mage of the organisation means the sum of all the ways a company chooses to identify itself to all its public. The public perception of the company's image is more important to retain the profit orientation.
- **Organisational Image as the total of characteristic properties:** The image of an organisation is that which makes the organisation stand out in the crowd. The distinction of the company from other counterparts is a measure of success in branding and other unique capabilities of the company. The mixture of talent, knowledge, skills, technology, resources and financial stability distinguish the company and determines its ability to create an image with value in proprietary ways.

Self – Image (Individual Image)

- Self -theory of personality is very important in the study of Organisational Behaviour, because it is what that decides the behaviour of the person, the decisions he make in the organisation and the consequences and the results that arise out of his decisions. The interrelated components of self-concept are

a) Physical Self

b) Emotional Self

c) Social Self

d) Intellectual Self

- **Types of Self-Image**

1. Ideal Self - The self-image is all about reality, present situations and the image perceived by the society, the ideal -self is about the ideal situation
2. Looking glass self - This is about the perception of the person on how the society is looking at him.
3. Real self - This is what one really is.

Self Esteem

- Self-esteem is the positive or negative feelings we have about ourselves. Self-esteem can be high or low, high self-esteem is positive and low self-esteem is negative.
- The ability, confidence and worthiness of ourself is the factor to measure the high or low self-esteem. When a person feels confidence on his competency level to finish a task or job, he will have a high self-esteem.
- Self-esteem is determined by many factors such as core competency, ability, skill, knowledge, power, money, physique, satisfaction level, relationships, respect, dignity, family support, social status etc.
- The inadequacy felt during low self-esteem is not necessarily due to the inadequacy in one’s own personal traits and ability.
- The time period of having a stable self-esteem is different from person to person. The time period of stable self-esteem can be anywhere from hours to days to months to years.

Self-Efficacy

- Self-efficacy refers to an individual's belief in his or her capacity to execute behaviours necessary to produce specific performance attainments.
- Self-efficacy reflects confidence in the ability to exert control over one's own motivation, behaviour, and social environment.
- Self-efficacy leads to optimism and hope, and through the hope a person is able to grow towards his ideal self-image and thus helping him achieve his desired self -goals along with other factors.
- There are three dimensions of self-efficacy. They are Magnitude , strength and Generality.
  a) Magnitude applies to the level of task difficulty that a person believes he can attain.
  b) Strength refers to whether the conviction regarding magnitude is strong or weak.
  c) Generality indicates the degree to which the expectation is generalized across situations

Organizational behaviour models
(Theoretical constructs and models of Organisational Behaviour)

- The framework of Organizational Behaviour is developed based on the following approaches
  - Cognitive Approach
  - Behavioristic Approach
  - Social Learning Approach

1.Cognitive Approach

- Cognitive approach is a psychological process. It is based on collecting and retrieving the information collected by a person through his experiences. Cognition is the factor that drives the behaviour and acts as the data source for a person to think and perceive the things he see/do in day-to-day life. This is the approach that deals with the problem solving and other information processing by a person.

2.Behaviouristic Approach

- Behaviouristic approach, as the very name suggests. Focus on the behaviour of a person. Behaviours are the actions done by a person in response to a stimulus. This approach can be well understood by stimulus-response experiments. For example, if an organisation implements a reward scheme that punctual and Regular attendees to work will be rewarded, then employees will try to be punctual and regular- which is behaviour-to get the reward, which is a consequence. The reward scheme acts as stimulus to change or pull the desired behaviour from the employees.

3.Social Learning Approach

- The social learning is a combination of both the concepts of Cognitive and Behaviouristic frameworks. In this approach, behaviour is explained as a continuous reciprocal interaction between cognitive, behavioural and environmental determinants. A person through his past experiences learn the environment around him, and tries to adjust, modify or reconstruct the environment according to the wants and needs for him. Hence, in organisational context, the employees learning through his past experiences and the work place in the organisation interact with each other and determines the behaviour of the employee in the organisation.

Conceptual Models of Organisational Behaviour

SOBC model

- SOBC is a basic model of Organisational Behaviour
- S– Stimulus (Environment based Variable)
- O- Organisation (Cognitive understanding of the organisation and the behaviour elicited from it)
- B- Behaviour
- C- Consequences of previous and past learning of the person (Environment based Variable)

Autocratic Model

- In this model, **managerial orientation is towards the authority**. To elicit the desired behaviour from the employees, managers use their power and expect the employees to obey the orders. This model is based on assumption that employees are not interested or passionate to work and not willing to take up responsibility. Hence, this model suggests that performance can be enhanced through fear and negative motivation techniques.

Custodial Model

- Money matters! This is the base for this model. Economic resources will be the constant factor that pay outs the monetary benefits of employees such as rewards, pension benefits etc. This approach assumes that it is the prerogative of the management to decide on what benefit will be best for the employees.

Supportive Model

- **Leadership is the base for this model**. The basic assumption of this approach is that, if the managers support their employees, and make the management activities participative then the employees will display the desired behaviour. According to Likert (1961), the leadership and the other processes of the organization must be such as to ensure a minimum probability that in all interactions and relationships with the organization, each member will in the light of his background, values and expectations view the experience as supportive and one which builds and maintains his sense of personal worth and importance.

Collegial Model

- Collegial means a group of people with a common goal. This basically emphasizes the team concept. If employees are grouped into teams, they will support and evolve with the help of each other. Employees will feel empowered, needed and worthy in the work place.